

Handout 7.6: Four Questions and Profit Example

Name: _____ Date: _____ Period: _____

Unit 7, Lesson 7.6. Calculators allowed and encouraged, all period, for everybody.

Part 1: The four questions every business has to answer

#	The question	What it means
1	What _____?	Something that is wrong, hard, or annoying for a real person.
2	Who _____?	A specific kind of person, not “everybody.”
3	What do you _____?	The thing you make (a product) or the work you do (a service).
4	What does it _____, and what do you _____?	Cost is what you spend. Price is what you charge.

Product or service? Write one of each from your own work this year.

A **product** I made this year: _____

A **service** I could do for somebody: _____

Customer means the person who _____. It is not always the person who _____.

Part 2: The problem behind five real businesses

Work in your team. Five rows in five minutes. One sentence each. Move fast.

Business	What problem does it solve?	Who has that problem?
A barber shop		
A phone repair counter		
A school bus company		
A bakery		
A lawn mowing crew		



The push question, for every row: would somebody pay to make that problem go away, and about how much?

Part 3: Revenue, cost, and profit. One clean example.

The class T-shirt.

One shirt

Line	Amount
Blank shirt	\$4.00
Printing	\$2.50
What it costs to make ONE shirt	\$_____
What you charge for one shirt	\$12.00
Profit on ONE shirt (\$12.00 minus your cost)	\$_____

Forty shirts, and you sell all forty

Line	Math	Amount
Revenue (money in)	40 shirts times \$12.00	\$_____
Cost (money out)	40 shirts times \$6.50	\$_____
Profit	revenue minus cost	\$_____

Write the formula from memory:

_____ minus _____ equals _____

Now it breaks. You ordered 60 shirts and you only sold 40.

Line	Math	Amount
Revenue (you only sold 40)	40 times \$12.00	\$_____
Cost (you paid for 60)	60 times \$6.50	\$_____
Profit	revenue minus cost	\$_____

What happened? Write one sentence.



Hold up your answer for the 60-shirt profit on the count of three.

Part 4: Business or hobby?

A **hobby** costs you money and you do it because you like it. A **business** brings in more than it costs, and somebody else decides whether it is worth paying for.

A hobby is not worse than a business. Most of what makes life good is a hobby. This is a question about money, not about worth.

Vote on each. Then write your decision with a reason that uses one of the four questions **and at least one number**.

#	The situation	Business or hobby?	Why? Use a question number and a number.
a	A student bakes cookies for their family every Sunday.		
b	A student bakes cookies and sells them at a school event for \$1.00 each. They cost 35 cents to make.		
c	A student makes bracelets, gives them away, and spends \$30.00 a month on string.		

For situation b: if they sell 40 cookies, what is the profit?

Revenue: 40 times \$1.00 = \$_____ Cost: 40 times \$0.35 = \$_____ Profit: \$_____

Exit card

Fold over and hand in.

Name: _____

1. One real problem you have seen this week that somebody would pay to have solved, and who would pay:

Problem: _____

Who would pay: _____



2. The profit formula, from memory:

Word bank

English	Turkish	Portuguese	Spanish
entrepreneur	girişimci	empreendedor	emprendedor
business	işletme (iş)	negócio	negocio
problem	sorun (problem)	problema	problema
customer	müşteri	cliente	cliente
product	ürün	produto	producto
service	hizmet	serviço	servicio
revenue	gelir (satış geliri)	receita	ingresos
cost	maliyet	custo	costo
profit	kâr	lucro	ganancia (beneficio)

Sentence frames: “The problem is . ***The person who has it is .***” / “Revenue minus cost equals profit.”